Question 1: Supermarkets in the United Kingdom (UK) and Singapore

Extract 1: UK supermarkets face uncertain times

Supermarkets sell a wide range of food, drink and non-food household essentials which shoppers purchase on a regular basis. Over the last 40 years, UK large retailers such as supermarkets have grown in size, with large car parks to accommodate the regular weekly flows of shoppers. In residential areas, smaller convenience stores, often owned by the supermarkets, provide an additional service to meet the needs of residents. In 2021 there were an estimated 7 500 supermarkets and over 40 000 local convenience stores in the UK.

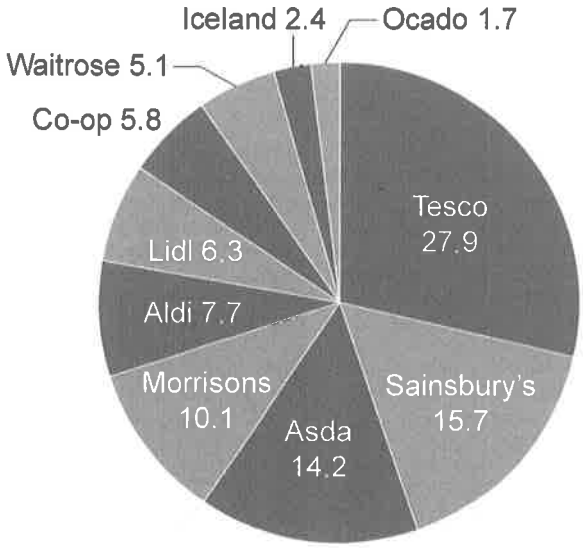
The most recent trend, accelerated by the Covid-19 pandemic, has been that many shoppers have turned to online shopping from the comfort of their own homes. Mobile devices can be easily used to order groceries and other items from supermarkets. It is now possible to order 'top up' supplies and take-away food through mobile devices for rapid delivery through on-demand apps often from local stores owned by supermarkets. Table 1 shows that the total retail grocery sales will continue to grow from 2021 to 2026.

Table 1: Forecast retail grocery sales in the UK, 2021 to 2026

Year	2021	2022	2023	2024	2025	2026
Forecast total retail grocery sales (£ billions)	212	214	216	220	224	229
Online sales as % of forecast total retail grocery sales	10.5	10.6	10.8	11.2	11.4	11.7

The degree of concentration in the market has increased dramatically over the last 20 years. This has come about through a series of mergers and acquisitions. As a result, the market in 2022 is dominated by Tesco alongside significant market shares for Sainsbury's, Asda and Morrisons (see Figure 1). Other firms have entered the market, notably Aldi and Lidl, both German-owned. They have had a big impact on the market and now compete nationally with the established companies. Amazon Fresh, a company based in the United States (US) is a more recent entrant into the UK market.

Figure 1: Percentage* of the UK's retail grocery market sales for 12 weeks to 26 December 2021



**Figures do not add up to 100% due to rounding*

Rising inflation is a huge threat to all grocery retailers, not just supermarkets. Cost increases must inevitably be passed on to customers in the form of price increases. Very small net profit margins, typically 0.5% for supermarkets, mean that there is a limit to the extent that cost increases can be absorbed into a business. There is also a limit to the opportunities for economies of scale to consistently bring cost savings into a business.

The market in the UK is fiercely competitive. It has become even more competitive since the arrival of Aldi and Lidl in the 1990s. Initially regarded as just price cutters, they have now established themselves as quality providers of price-competitive products, many of which are exclusive to their stores. In 2022, Tesco and Sainsbury's were running 'price match' schemes on hundreds of products sold by their rivals Lidl and Aldi. Another area of intense competition is vehicle fuel. Larger supermarkets usually have on-site petrol stations selling fuel at competitive prices. Fuel sales can account for 10% or more of total sales. Discounted petrol prices can attract customers to shop at a particular supermarket, especially when there is a special promotion.

Supermarkets have sought to control their supply chains to provide a competitive edge. These supply chains include the farming, manufacturing, packaging and transporting of food and other products. The power of large supermarkets to control their supply chains has not escaped the attention of the UK's Competition and Markets Authority. This regulatory organisation has undertaken many investigations into how supermarkets treat their suppliers but there have been few fines or prosecutions for anti-competitive behaviour.

Source: Adapted from Onita L, The Telegraph, *6 January 2022*

Extract 2: The 'Big Four' supermarkets in the UK

Tesco has been the market leader for many years. Tesco has over 4600 stores in the UK including 1800 local convenience stores. It has a loyalty card (Clubcard) and an ever-widening range of own-brand food and non-food products. Its dominant position in the market gives Tesco 'price leadership', meaning that other retailers with lower market shares may follow pricing changes made by Tesco.

Sainsbury's has over 1400 stores, half of which are local convenience stores. Sainsbury's has a strong reputation for quality, especially for its own brands. Until recently, it charged a premium price for its grocery products. However, price reductions and price matches are now key features of the company's competitive strategy to retain market share.

Asda, with over 600 stores, has a competitive strategy that has always focussed on charging lower prices compared to its rivals. It was the first of the 'Big Four' to sell clothing and other non-food items.

Morrisons has around 500 stores. Unlike the other three supermarkets, it has extensive interests in food processing, production and agriculture. Many of its fresh products are sourced within a short distance of its factories and distribution centres. Morrisons has a vertically integrated structure (for example, the company owns farms) which is a central pillar of its pricing strategy.

Source: Downie R, Investopedia, 23 September 2021

Extract 3: Supermarkets in Singapore

In 2020, Singapore had around 580 supermarkets. Table 2 shows the market share of these supermarkets.

Table 2: Percentage of total Singapore supermarket sales, 2020

Supermarket	% market share
NTUC FairPrice	41.1
Sheng Siong	26.6
DFI Retail Group* (Dairy Farm International)	21.5
Prime Supermarkets	3.7
U Stars Private Limited	3.1
Others	4.0

**DFI Retail Group operates supermarkets including Giant, Cold Storage and Jason Market Place.*

In addition, year-on-year Singapore supermarket sales increased by 2.5% to 3.5% over the period 2010 to 2019. In 2020, sales growth was exceptionally high, at almost 30%, due to the effects of Covid-19 on lifestyles and panic buying by many residents. In 2021, year-on-year sales growth fell back to 4.5%. It was forecast that sales growth would return to pre-pandemic levels in 2022.

Source: Euromonitor, February 2021

Extract 4: The Competition and Consumer Commission of Singapore (CCCS)

The CCCS is a regulatory body with the following functions:

- to maintain and enhance efficient market conduct and promote overall productivity, innovation and competitiveness of markets in Singapore
- to eliminate or control practices that have an adverse effect on competition in Singapore
- to promote and sustain competition in markets in Singapore
- to promote a strong competitive culture and environment throughout the economy of Singapore.

In applying these functions, CCCS regulations allow companies to notify the regulatory body of a merger or anticipated merger. Parties may do so 'if they have serious concerns as to whether the merger or anticipated merger has led to or may lead to a substantial lessening of competition'.

The CCCS is unlikely to intervene in a merger situation **unless**:

- the merged entity has or will have a market share of at least 40% **or**
- the merged entity will have/has a market share of between 20% and 40% **and** the post-merger combined market share of the three largest firms is at least 70%.

Source: cccs.gov.sg/about-cccs, January 2022

(a) Using the information in Table 1, compare the change in forecast total retail grocery sales to that for online sales in the UK between 2021 and 2026. [2]

(b) Explain **two** factors that are likely to determine the forecast increased demand for online shopping. [4]

(c) Using the evidence in Extracts 1 and 2, explain **two** features of UK supermarkets that demonstrate the characteristics of an oligopoly. [4]

(d) With reference to Extracts 1 and 2, explain **one** possible reason why supermarkets might seek to control their supply chains. [2]

(e) If Sheng Siong and DFI decide to merge, discuss whether the CCCS should intervene in the merger due to adverse effects on consumers and other supermarkets in Singapore. [8]

(f) Discuss whether price competition is the best way for supermarkets to raise revenue. [10]

[Total: 30]